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CARIBBEAN EXAMINATIONS COUNCIL

SECONDARY EDUCATION CERTIFICATE EXAMINATION

PRINCIPLES OF ACCOUNTS

Paper 02 – General Proficiency

3 hours

19 MAY 2008 (a.m.)

1. **Answer ALL the questions in Section I and TWO questions from Section II.**
2. **Begin EACH answer on a separate page.**
3. **Keep ALL parts of EACH answer together.**
4. **Silent electronic calculators may be used, but ALL necessary working should be clearly shown.**
5. **EACH question is worth 20 marks.**

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SECTION I

Answer the THREE questions in this section.

1. The following balances remained on the Trial Balance of Alvin Preston, a wholesaler, **AFTER** the preparation of the Trading Account on December 31, 2007:

	Debit	**Credit**
	$	**$**
Gross profit		19 500
Accumulated depreciation on motor vehicles		7 500
Capital (January 1, 2007)		4 200
Creditors		5 000
Cash at bank	100	
Debtors	8 350	
Drawings	5 500	
Office expenses	6 300	
Provision for bad debts		300
Rates	750	
Closing inventory (Stock)	3 000	
Motor vehicles at cost	12 500	
	36 500	36 500

Additional notes:

1. Debtors included a certain bad debt of $250.

2. The Provision for bad debts is to be increased to $400.

3. No entry had been made in the books of account for a cheque received from a debtor on December 31, 2007 made payable to Preston for $200.

4. At December 31, 2007 Preston owed $150 for Insurance.

5. Rates prepaid at December 31, 2007 amounted to $50.

6. Preston uses the reducing balance method of depreciation on motor vehicles at a rate of 30% per annum. There were no purchases or sales of motor vehicles during the year.

(a) Prepare Alvin Preston's Profit and Loss Account for the year ended December 31, 2007. **(8 marks)**

(b) Prepare Alvin Preston's classified Balance Sheet in vertical style, as at December 31, 2007. **(12 marks)**

Total 20 marks

2. The following cash transactions were made by A. Khan for the month of March:

March 1	Overdrawn balance at bank $700. Cash balance $300.
March 2	Cash sales amounted to $550. Paid T. Ali by cheque amount owing of $700 less 5% cash discount.
March 5	Paid sundry expenses of $120 by cash.
March 8	Received cheque for $1 800 from P. Shivers after he had deducted 3% cash discount to which he was entitled. Cashed cheque of $1 000 for office use.
March 12	Received a cheque for $680 from S. Thompson in full settlement for goods sold valued at $700.
March 16	Cash sales amounted to $400. Wages of $800 paid by cash.
March 20	Cash of $1 000 paid into the bank.
March 27	Cheque of $500 drawn for personal use.

(a) Write up the Three Column Cash Book of A. Khan. Balance the cash book and bring down the balances. **(14 marks)**

(b) On April 2, 2007, A. Khan received a bank statement from his bank for the month of March which showed an overdrawn balance of $1 405. On careful examination, the following discrepancies were found:

1. The bank had charges of $20 which were not recorded in the Cash Book.

2. The cheque of $1 800 received from P. Shivers on March 8 had been dishonoured.

3. Standing orders for insurance premiums of $700 had been paid by the bank. This had not been recorded in the cash book.

4. The cheque for $500 drawn for personal use on March 27 was not among the cancelled cheques returned by the bank with the statement. There was also no record of it on the bank statement.

(i) Update Khan's Cash Book, starting with the **closing** bank balance in his cash book from (a) above. **(4 marks)**

(ii) Prepare Khan's Bank Reconciliation Statement as at March 31, 2008. **(2 marks)**

Total 20 marks

3. Smith and Wheaton, separate sole traders, agreed to close their individual businesses and form a partnership. They named the business Smith & Wheaton Ltd. It was located on Wheaton's premises, using his assets.

Wheaton brought to the new business the following assets:

	$
Cash	10 000
Fixtures	15 000
Equipment	25 000
Land and buildings	40 000

Smith sold his assets and brought to the new business cash of $100 000.

(a) Prepare opening journal entries to show the capitals of the partners on January 1, 2007. **(7 marks)**

(b) After a successful year of trading, the partnership made a net profit of $75 000. The partnership agreement provides for the following:

1. Interest on drawings is to be charged at the rate of 3% per annum.
2. Interest on capital is to be paid at the rate of 5% per annum.
3. A salary of $3 000 monthly is to be paid to Wheaton.
4. Profits or losses are to be shared equally.

Wheaton withdrew $6 000 on March 1, 2007 and Smith withdrew $7 000 on September 1, 2007.

(i) Prepare the partners' Profit and Loss Appropriation Account for the year ended December 31, 2007. **(8 marks)**

(ii) Prepare the partners' Current Accounts as at December 31, 2007. **(5 marks)**

Total 20 marks

SECTION II

Answer any TWO questions in this section.

4. The financial year of L. McLeod ended March 31, 2008. The data below provides information on general expenses, insurance, rent revenue and commissions revenue.

(1) **General expenses**: Amount owing at April 1, 2007 was $35. Amount paid during the year was $1 500. Amount owing at March 31, 2008 was $47.

(2) **Insurance**: Amount prepaid at April 1, 2007 was $200. Amount paid during the year was $3 200. Amount prepaid at March 31, 2008 (included in the $3 200) was $240.

(3) **Rent revenue**: Amount received in advance at April 1, 2007 was $300. Further rent received during the year was $1 200. Rent received in advance at March 31, 2008 (included in the $1 200) was $250.

(4) **Commissions revenue**: Amount owing at April 1, 2007 was $700. Commissions received during the year was $3 500. Commissions revenue owing at March 31, 2008 was $800.

Required:

(a) Use journal entries **OR** ledger accounts to record the information above showing clearly the amounts which will be transferred to the Profit and Loss Account (Income Statement). **Narrations are not required for journal entries.**

(19 marks)

(b) Identify the Balance Sheet item under which commissions revenue owing at March 31, 2008 in (4) above, will appear. **(1 mark)**

Total 20 marks

5. T. Terrelounge Manufacturing had the following balances as at April 30, 2008.

		$
Inventory (Stock) at May 1, 2007		
Raw material		36 520
Work in progress		45 920
Finished goods		36 200
Purchases:	Raw material	130 720
	Finished goods	50 600
Carriage inwards:	Raw material	3 600
Carriage outwards:	Finished goods	2 400
Direct labour		134 600
Office salaries		34 800
Utilities		15 000
Depreciation – factory equipment		15 800
Depreciation – office equipment		5 400
Rent		29 000
Sales		500 000
Inventory (Stock) at April 30, 2008		
Raw material		39 000
Work in progress		33 800
Finished goods		47 000

Overheads are to be apportioned as follows:

Utilities:	factory 70%; office 30%
Rent:	factory 50%; office 50%

(a) Prepare the Manufacturing, Trading and Profit and Loss Account of T. Terrelounge Manufacturing for the year ended April 30, 2008. Costs must be clearly identified. **(18 marks)**

(b) Calculate the unit cost of items produced, if 25 000 units were produced during the period. **(Show workings)**. **(2 marks)**

Total 20 marks

6. The following information is a summary of K. Ramish's bank account for the year ended December 31, 2007.

Cash Book Summary

	$		$
Balance b/f	917	Payments to creditors	59 556
Cash sales	58 296	Salaries	9 335
Receipts from debtors	28 567	Rent	2 759
		Rates	875
		General expenses	5 691
		New equipment	3 500
		Drawings	3 780
		Balance c/f	2 284
	87 780		87 780

Additional information:

	December 31, 2006	December 31, 2007
	$	$
Equipment	15 750	?
Inventory (Stock)	7 560	8 613
Debtors	5 698	6 510
Creditors	3 010	3 234
Rates paid in advance	–	175
Rent accrued	–	875
General expenses accrued	420	–

Depreciation on equipment is to be provided at the rate of 10% per annum on the straight line method.

(a) Prepare K. Ramish's opening Statement of Affairs. **(5 marks)**

(b) Prepare accounts or statements to show credit purchases and credit sales. **(6 marks)**

(c) Prepare K. Ramish's Trading and Profit and Loss Account for the year ended December 31, 2007. **(9 marks)**

Total 20 marks

7. The L B B Ltd issued 40 000 ordinary shares at $3 each, 20 000 8% preference shares at $10 each and $150 000 12% debentures. These were all subscribed and fully paid up on March 15, 2007.

(a) Prepare an opening classified Balance Sheet for the L B B Ltd as at March 15, 2007. **(Show your workings for cash or bank amount).** **(7 marks)**

(b) A summary of the financial statements for S. Christie Ltd is presented below.

S. Christie Ltd
Trading and Profit and Loss Account
For year ended April 30, 2008

	$	$
Sales		35 000
Opening inventory	2 500	
Add purchases	26 750	
	29 250	
Less closing inventory	3 000	26 250
Gross profit		8 750
Expenses		3 550
Net profit		5 200

S. Christie Ltd
Balance Sheet as at April 30, 2008

	$	$
Fixed Assets		525
Current Assets		
Inventory	3 000	
Debtors	3 450	
Bank	1 000	
	7 450	
Current Liabilities		
Creditors	275	7 175
		7 700
Capital		5 000
Add net profit		5 200
		10 200
Less drawings		2 500
		7 700

(i) Use the above financial statements for S. Christie Ltd to calculate the following profitability and financial ratios: **(Show workings)**.

- Gross profit margin
- Net profit margin
- Return on capital invested
- Current ratio
- Acid test (Quick) ratio
- Stock turnover **(11 marks)**

(ii) Explain briefly what EACH of the following indicates about a business:

- A "good" current ratio **(1 mark)**
- A "bad" acid test ratio. **(1 mark)**

Total 20 marks

END OF TEST